

COMPLAINT FOR DAMAGES

IN THE UNITED STATES DISTRICT COURT FOR THE NORTHERN DISTRICT OF CALIFORNIA
ACME TECHNOLOGY CORP., Plaintiff, v. Case No. 23-cv-12345 BETA SOFTWARE SOLUTIONS,
INC., Defendant.

TO THE HONORABLE COURT:

Plaintiff ACME Technology Corp. ("ACME"), by and through its undersigned counsel, hereby complains against Defendant Beta Software Solutions, Inc. ("Beta") and alleges as follows:

PARTIES

1. Plaintiff ACME is a Delaware corporation with its principal place of business in San Francisco, California. ACME develops and licenses advanced software solutions for enterprise customers.
2. Upon information and belief, Defendant Beta is a corporation organized under the laws of Nevada with its principal place of business in Las Vegas, Nevada. Beta provides software development and consulting services.

JURISDICTION AND VENUE

3. This Court has subject matter jurisdiction over this action pursuant to 28 U.S.C. § 1332 because the matter in controversy exceeds \$75,000 and there is complete diversity of citizenship between the parties.
4. Venue is proper in this District pursuant to 28 U.S.C. § 1391(b) because a substantial part of the events giving rise to the claim occurred in this District.

FACTUAL ALLEGATIONS

5. On or about January 15, 2023, ACME and Beta entered into a Software Development Agreement ("Agreement") whereby Beta agreed to develop custom software modules for ACME's flagship product.
6. Under the terms of the Agreement, Beta was to deliver the completed software modules by June 30, 2023, in exchange for payment of \$500,000.
7. The Agreement contained strict confidentiality provisions prohibiting Beta from disclosing ACME's proprietary algorithms and trade secrets to any third parties.
8. ACME made timely payments totaling \$350,000 to Beta in accordance with the Agreement's milestone-based payment schedule.
9. Beta failed to deliver the software modules by the contractual deadline and has repeatedly requested extensions without providing adequate justification.
10. Upon information and belief, Beta has improperly disclosed ACME's confidential information to competing companies, including ACME's proprietary machine learning algorithms and customer data.

11. Beta's breach of contract and misappropriation of trade secrets has caused ACME to lose substantial business opportunities and suffer damages in excess of \$2,000,000.

COUNT I - BREACH OF CONTRACT

12. ACME incorporates by reference the allegations contained in paragraphs 1-11.

13. The Agreement constitutes a valid and enforceable contract between ACME and Beta.

14. ACME has performed all of its obligations under the Agreement, including making timely payments to Beta.

15. Beta has materially breached the Agreement by failing to deliver the software modules by the contractual deadline and by failing to meet the technical specifications set forth in the Agreement.

16. As a direct and proximate result of Beta's breach, ACME has suffered damages including the amounts paid to Beta, costs of finding alternative development resources, and lost profits.

COUNT II - MISAPPROPRIATION OF TRADE SECRETS

17. ACME incorporates by reference the allegations contained in paragraphs 1-16.

18. ACME's algorithms, customer lists, and technical specifications constitute valuable trade secrets that derive independent economic value from not being generally known.

19. ACME took reasonable measures to maintain the secrecy of this information, including requiring Beta to execute confidentiality agreements.

20. Beta has misappropriated ACME's trade secrets by disclosing them to third parties without authorization and by using them for Beta's own benefit.

21. Beta's misappropriation has caused irreparable harm to ACME and entitles ACME to injunctive relief and monetary damages.

PRAYER FOR RELIEF

WHEREFORE, Plaintiff ACME Technology Corp. respectfully requests that this Court:

A. Enter judgment in favor of ACME and against Beta on all counts;

B. Award ACME compensatory damages in an amount to be proven at trial, but not less than \$2,000,000;

C. Award ACME its reasonable attorneys' fees and costs incurred in this action;

D. Grant such other and further relief as this Court deems just and proper.

DEMAND FOR JURY TRIAL

Plaintiff demands a trial by jury on all issues so triable.

Respectfully submitted,

/s/ Attorney Name Attorney Name (State Bar No. 123456) LAW FIRM NAME 123 Legal Street San Francisco, CA 94105 Telephone: (415) 555-0123 Email: attorney@lawfirm.com

Attorney for Plaintiff ACME Technology Corp.